



May 11, 2023

Representative Dade Phelan
Speaker of the Texas House of Representatives
Room 2W.13, P.O. Box 2910
Austin, TX 78768

RE: Texas HB 4 – Oppose

Dear Speaker Phelan and Members of the Texas House of Representatives:

On behalf of the advertising industry, we provide suggested changes to Texas HB 4.¹ We and the companies we represent, many of whom do substantial business in Texas, strongly believe consumers deserve meaningful privacy protections supported by reasonable government and industry policies. However, as presently drafted, HB 4 contains provisions regarding global settings to designate authorized agents that would be out-of-step with privacy laws in other states. We therefore encourage the Texas legislature to remove this language on “global settings” or, at minimum, update the bill so it aligns with other states’ laws that include necessary guidance on how businesses must provide and accept such settings and that scope these opt-outs to certain types of processing.

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product (“GDP”) in 2020.² By one estimate, over half a million jobs in Texas are related to the ad-subsidized Internet.³ Our group has more than a decade’s worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with you further on our suggested amendments to the bill outlined here.

I. Texas Should Avoid Cumbersome and Amorphous “Global” Opt Out Requirements

As written, HB 4 would require controllers to honor requests to opt out of the processing of personal data when communicated by an authorized agent that a consumer designates “using a technology, including a link to an Internet website, an Internet browser setting or extension, or a global setting on an electronic device.”⁴ Yet the bill fails to outline any guidelines to assist controllers in

¹ Texas HB 4, 88th Legis. Reg. Sess. (2023), located [here](#) (hereinafter, “HB 4”).

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 134-35 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf (hereinafter, “Deighton & Kornfeld 2021”).

³ *Id.* at 132.

⁴ HB 4 at Section 541.055(e).

determining whether such “global settings” are truly authorized by the consumer or not. This lack of clarity could enable intermediary companies, like browsers, to set opt out signals for Texans by default, depriving them of the benefits of the ad-supported Internet without ensuring that this decision aligns with the consumer’s true preferences. For instance, one browser announced that it would turn on such controls by default and they would be unconfigurable,⁵ thereby assuming that any consumer choosing to use the browser has decided to opt out of personal data sales. Legal requirements to honor “global settings” through intermediary technologies therefore threaten consumer choice and hinder consumers’ ability to express their actual preferences. The law should define these safeguards and avoid subjecting businesses to ambiguous standards. Consequently, we urge the Texas legislature to amend HB 4 to remove this requirement to honor “global settings.”

II. If HB 4 Retains Its Opt Out Signal Requirements, Texas Should Provide Reasonable Safeguards for Such Opt-Outs to Preserve Consumer Choice

At a minimum, HB 4 should be aligned with other state law provisions on “global settings” that provide necessary safeguards and expressly limit these opt-outs to certain types of processing. Such necessary safeguards—that already exist under other state privacy laws—would require “global settings” to (1) not unfairly disadvantage certain businesses; (2) truly express a consumer’s choice; (3) not be turned on by default without a consumer’s affirmative, freely given, and unambiguous choice; and (4) notify consumers of the choices to opt out of processing for sales, targeted advertising, or certain profiling.⁶ Including these safeguards would provide clearer consumer protections than those under the current draft in cases where consumers authorize agents to submit requests on their behalf. Additionally, other state laws explicitly limit “global settings” opt-outs or designations of authorized agents by “global settings” to certain processing—for sale of personal data or for targeted advertising.⁷ However, as presently drafted, the bill does not clearly limit this method of opting out to specific types of processing. Instead, HB 4 could apply to “processing” generally by mandating controllers to comply with global settings “that [allow] the consumer to indicate the consumer’s intent to opt out of the processing.”⁸ Again, this ambiguity in the bill would disastrously impede routine and reasonable business operations while failing to provide meaningful privacy protections for consumers. In fact, this vagueness in the bill would instead likely confuse consumers as to what privacy rights they may exercise and how. For these reasons, we encourage the legislature to revise HB 4 to exclude such language on “global settings” or, at minimum, to edit these provisions to align with other state privacy laws, providing guidelines and limits on these opt outs that create crucial clarity for businesses and consumers alike.

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We and our members support protecting consumer privacy. We believe, however, that HB 4 would impose unclear and ultimately harmful requirements regarding “global settings” that would be

⁵ See Brave, *Global Privacy Control, a new Privacy Standard Proposal, now Available in Brave’s Desktop and Android Testing Versions* (Oct. 7, 2020), located at <https://brave.com/global-privacy-control/>.

⁶ See, e.g., California Privacy Rights Act of 2022, Cal. Civ. Code § 1798.185(a)(19)(A) (hereinafter, “CPRA”); Colorado Privacy Act, Colo. Rev. Stat § 6-1-1313(2) (hereinafter, “CPA”).

⁷ See, e.g., CPRA § 1798.135(e); CPA § 6-1-1306(1)(a)(IV).

⁸ HB 4 at Section 541.055(e).

misaligned with other state privacy laws. We therefore respectfully ask you to decline to advance the bill in its current form or amend the bill in line with our suggestions above.

Thank you in advance for your consideration of this letter.

Sincerely,

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CC: Members of the Texas House of Representatives

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